COLLECTIONS

HOA collection policy: a sample outline.

Eleven sections a manager can draft from. Fill in a blank for each association; the examples beside them are illustrations, not recommendations. The governing documents and applicable law set every number. The full article, with the five-point check for the policy you already have, is at alloygp.co/resources/collections/collection-policy.

> **Not a legal template.** This outline shows structure only. Terms, amounts and notice periods depend on the governing documents and your state's law. The association's attorney must review the final policy. Every open item is a decision for the board and the attorney.

01 Purpose and authority

Cite the declaration and bylaw sections and the state statute that authorize the policy.

02 Assessments and due dates

Regular and special assessments; due date; grace period _____ X days, e.g. 10, 15 or 30.

03 Delinquency

Date an account is delinquent; late charge _____ a flat amount or a percentage, within state limits; interest _____ rate per year, within state limits.

04 Notice sequence

Reminder at _____ X days, e.g. 15; late notice at _____ X days, e.g. 30; any statutory notice with its required content and delivery method.

05 Payment plans

When plans must be offered, when the board may offer them, the applicable terms _____ length, e.g. 6 to 18 months, and minimum payment; who approves; what ends a plan.

06 Application of payments

Order of application, per statute where one applies.

07 Intermediate stage, if adopted

Trigger _____ X days past due, e.g. 60, 90 or 120, with the sequence reviewed against deadlines; who runs it _____ internal team, counsel's cadence or a vendor; window _____ X days, e.g. 60 to 120; scope statement (excludes legal advice, lien recording, lawsuits, foreclosure). Account verification, not a substitute for statutory validation; what pauses follow-up. Who pays which charges, with the legal basis for each confirmed by counsel; return to the board with contact history.

08 Attorney referral

Trigger, and what requires earlier referral; board decision; file contents. Which costs are added to the owner's balance, with the legal basis confirmed by counsel.

09 Liens, suits and foreclosure

Reference to the attorney's process and the statutory requirements; legal review and applicable board-approval requirements at each step.

10 Records and reporting

Monthly report contents; retention of notices and contact logs.

11 Adoption and review

Resolution date; annual review date.

WHAT TO DO WITH THIS OUTLINE

Draft, review, adopt.

1. Run the five checks on the policy you already have (policy versus practice, trigger versus law, legal basis for every charge, payment plans, reporting).
2. Draft from the sections above and fill every blank with the board.
3. Send the draft to the association's attorney to confirm the legal requirements, the policy language and the legal basis, limits and notices for every charge.
4. Bring a one-page summary to the board and ask for a resolution adopting the policy, with a review date one year out.

Alloy helps management companies review operations, evaluate options and coordinate implementation. The association's attorney reviews legal requirements, policy language and fee authority.

REVIEW YOUR COLLECTIONS PROCESS · ALLOYGP.CO/CONTACT

This outline provides general operational education, not legal advice. Requirements vary by jurisdiction and association. Have the association's attorney review collection policies, notices, agreements and charges before implementation. Alloy's partners have a financial interest in a pre-legal collections business; this outline recommends a process, not a provider.

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